

Getting Started with Algorithmic Trading in US Stock Markets

A guide for investors partnering with a quantitative trading team — StarClaw Quant

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A plain-language guide for investors partnering with a quantitative trading team

What We Do

We build **AI-powered quantitative trading systems** that automatically analyze thousands of stocks, identify high-probability trading opportunities, and execute trades — all without human emotion getting in the way.

Our technology combines: - **Mathematical models** that score every stock on trend strength, momentum, volume, and volatility - **AI confirmation** (our proprietary Claw AI) that cross-checks each candidate against news, earnings, and sector activity before placing any trade - **Automated risk management** with multi-level circuit breakers to protect capital

Opening a Brokerage Account

To run algorithmic trading on US stocks, you need a brokerage account that provides **API access** (a way for our software to place trades automatically).

Recommended Brokers

Broker	Best For	Minimum Deposit	Commission	API Access
Interactive Brokers (IBKR)	Serious quantitative trading	\$0	~\$0.005/share (min \$1)	✓ Professional-grade
Alpaca	Getting started / testing	\$0	\$0 (free)	✓ Easy REST API
Charles Schwab	Long-term + some algo	\$0	\$0	✓ Via thinkorswim

Our Recommendation

Start with Interactive Brokers (IBKR) — it's what most quantitative hedge funds use worldwide. Here's why:

- ✓ Supports stocks, options, futures, forex, crypto — all in one account
- ✓ Professional API (TWS API / IB Gateway) with Python support
- ✓ **Free paper trading** (simulated trading with fake money) to test strategies
- ✓ Low commissions (\$1 minimum per trade)
- ✓ Available to US residents and international investors
- ✓ Trusted — publicly traded company (Nasdaq: IBKR), founded 1978

What You Need to Open an Account

For US Residents

1. **Government-issued ID** (driver's license or passport)
2. **Social Security Number (SSN)**
3. **Bank account** for funding
4. **5 minutes** to complete the online application

For Non-US Residents

1. **Passport**
2. **Proof of address** (utility bill or bank statement)
3. **W-8BEN tax form** (filled online — declares you're a non-US person for tax purposes)
4. **Wire transfer** capability from your bank

Account Type

- **Individual account** — simplest, for personal trading
- **LLC / Corporate account** — if trading through a company (recommended for larger amounts)

How Much Money Do You Need?

Stage	Amount	What You Can Do
Paper Trading (Simulated)	\$0	Test our strategies with fake money. No risk. Full functionality.
Minimum Live Trading	\$500 – \$2,000	Run basic strategies on 3–5 stocks. Good for proof of concept.
Meaningful Live Trading	\$5,000 – \$25,000	Diversified portfolio of 8–15 stocks. Proper risk management.
Day Trading	\$25,000+	Required by SEC rules (Pattern Day Trader rule) if you buy and sell the same stock on the same day more than 3 times per week.

Stage	Amount	What You Can Do
Professional Scale	\$100,000+	Full strategy suite, multiple concurrent strategies, options hedging.

Our Suggestion for First-Time Testing

Start with \$0 (paper trading) for 2–4 weeks, then fund with \$5,000–\$10,000 for initial live testing.

Paper trading lets you verify that: - Our algorithms generate profitable signals - The AI confirmation layer filters out bad trades - Risk management works as designed - You're comfortable with the trading frequency and style

You risk nothing during paper trading. When you're satisfied with the results, you fund the account and switch to live trading with one click.

What Permissions / Access Do You Need?

Permission	Why	How to Get It
Market data subscription	Real-time stock prices	Included free with IBKR (basic) or ~\$4.50/month (professional)
API access	Let our software trade automatically	Enabled by default on IBKR; just need to download TWS or IB Gateway
Margin account (optional)	Borrow money to trade more	Apply during account opening; requires \$2,000+ minimum
Options trading (optional)	Hedging strategies	Apply during account opening; requires passing a short questionnaire

For our initial strategy (stock-only, long-only), you just need: -  A funded account -  Market data (free tier is fine) -  API access enabled

No margin, no options, no special permissions needed to start.

How It Works (Investor's View)



What You See

- **Real-time dashboard** showing all positions, P&L, and trade history
- **Daily summary** with what was bought/sold and why
- **Risk alerts** if any circuit breaker triggers
- **Monthly performance report** with benchmark comparison

What You Don't Need to Do

- ❌ No need to watch the market
 - ❌ No need to make trading decisions
 - ❌ No need to understand technical analysis
 - ❌ No need to install any software (dashboard is web-based)
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Fee Structure

Item	Cost
Brokerage commission	~\$1 per trade (paid to IBKR)
Market data	\$0 – \$4.50/month
Our management fee	To be discussed (typically % of profits)
Account minimum	No minimum (we recommend \$5,000+)

Risk Disclosure

All trading involves risk. Past performance does not guarantee future results. Our system includes multiple safety mechanisms:

- **Per-trade stop loss:** Maximum 2% loss per position
- **Daily circuit breaker:** If total portfolio drops 5% in one day, all trading stops
- **AI confirmation:** Every trade is reviewed by AI before execution
- **Diversification:** Maximum 25% in any single stock

However, losses can and do occur. Only invest money you can afford to lose.

Next Steps

1. **Open an IBKR account** at interactivebrokers.com
2. **Enable paper trading** (Settings → Paper Trading Account)
3. **Share your account ID** with us (we never need your password — API uses separate credentials)
4. **We connect and start testing** with paper money
5. **Review results together** after 2–4 weeks
6. **Decision:** Fund for live trading or adjust strategy

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This document is for informational purposes only and does not constitute investment advice.